

Notations :

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

Question Paper Name :	IIT M DEGREE AN EXAM QDB2 15 Mar 2026
Subject Name :	2026 Mar15: IIT M AN EXAM QDB2
Creation Date :	2026-03-05 10:37:28
Duration :	120
Total Marks :	637
Display Marks:	Yes
Share Answer Key With Delivery Engine :	Yes
Actual Answer Key :	Yes
Calculator :	Scientific
Magnifying Glass Required? :	No
Ruler Required? :	No
Eraser Required? :	No
Scratch Pad Required? :	No
Rough Sketch/Notepad Required? :	No
Protractor Required? :	No
Show Watermark on Console? :	Yes
Highlighter :	No
Auto Save on Console?	Yes
Change Font Color :	No
Change Background Color :	No
Change Theme :	No
Help Button :	No
Show Reports :	No
Show Progress Bar :	No

Group I

Group Number :	1
Group Id :	64065332737
Group Maximum Duration :	0
Group Minimum Duration :	90

Show Attended Group? :	No
Edit Attended Group? :	No
Break time :	0
Group Marks :	637
Is this Group for Examiner? :	No
Examiner permission :	Cant View
Show Progress Bar? :	No
Revisit allowed for group Instructions? :	Yes
Maximum Instruction Time :	0
Minimum Instruction Time :	0
Group Time In :	Minutes
Revisit Section :	Yes
Action on Revisit Section :	View and Edit
Navigate To Group Summary From Last Question? :	No
Disable Submit Button During Assessment? :	No
Section Selection Time? :	0
No of Optional sections to be attempted :	0

Managerial Economics

Section Id :	640653129734
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	15
Number of Questions to be attempted :	15
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653362936
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406531961585

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406536373895. ✓ Yes

6406536373896. ✗ No

Sub-Section Number :

2

Sub-Section Id :

640653362937

Question Shuffling Allowed :

Yes

Question Number : 2 Question Id : 6406531961586

Correct Marks : 1

Question Label : Multiple Choice Question

For the production function $q = 4K^{1/2} + 4L$

Options :

6406536373897. ✗ Both MPL and MPK are constant

6406536373898. ✓ MPK is decreasing but MPL is constant

6406536373899. ✗ MPL is decreasing and MPK is constant

6406536373900. ✗ Both MPL and MPK are decreasing

Question Number : 3 Question Id : 6406531961587

Correct Marks : 1

Question Label : Multiple Choice Question

A firm can always trade three units of labour for one unit of capital and still keep output constant. The production technology for this firm can most suitably be represented by

Options :

6406536373901. ✗ Cobb-Douglas production function

6406536373902. ✗ Leontief production function

6406536373903. ✓ Linear production function

6406536373904. ✗ None of these

Question Number : 4 Question Id : 6406531961588

Correct Marks : 1

Question Label : Multiple Choice Question

A firm finds that it requires exactly two full-time workers to operate each piece of machinery in the factory. The production technology for this firm can most suitably be represented by

Options :

6406536373905. ✖ Cobb-Douglas production function

6406536373906. ✔ Leontief production function

6406536373907. ✖ Linear production function

6406536373908. ✖ None of these

Question Number : 5 Question Id : 6406531961589

Correct Marks : 1

Question Label : Multiple Choice Question

The marginal product of capital is defined as

Options :

6406536373909. ✖ a firm's total output divided by total labour input

6406536373910. ✖ the extra output produced by employing one more unit of labour while allowing other inputs to vary

6406536373911. ✖ the extra output produced by employing one more unit of labour while holding other inputs constant

6406536373912. ✔ the extra output produced by employing one more unit of capital while holding other input constant

Question Number : 6 Question Id : 6406531961590

Correct Marks : 1

Question Label : Multiple Choice Question

If marginal costs equal average total costs

Options :

6406536373913. ✖ average total costs are falling

6406536373914. ✖ average total costs are maximized

6406536373915. ✖ average total costs are rising

6406536373916. ✔ average total costs are minimized

Question Number : 7 Question Id : 6406531961592

Correct Marks : 1

Question Label : Multiple Choice Question

When average product is decreasing in labor, marginal product is greater than average product.

Options :

6406536373921. ✖ True

6406536373922. ✔ False

Question Number : 8 Question Id : 6406531961593

Correct Marks : 1

Question Label : Multiple Choice Question

When average product is increasing in labor, marginal product is less than average product.

Options :

6406536373923. ✖ True

6406536373924. ✔ False

Question Number : 9 Question Id : 6406531961594

Correct Marks : 1

Question Label : Multiple Choice Question

When average product AP_L is at a maximum, then marginal product is equal to average product

Options :

6406536373925. ✔ True

6406536373926. ✖ False

Sub-Section Number :

3

Sub-Section Id :

640653362938

Question Shuffling Allowed :

Yes

Question Number : 10 Question Id : 6406531961591

Correct Marks : 2

Question Label : Multiple Choice Question

Suppose that a firm's production function is $q = 10L^{1/2}K^{1/2}$. The cost of a unit of labour is \$20 and the cost of a unit of capital is \$80. The firm is currently producing 100 units of output and has determined that the cost-minimizing quantities of labour and capital respectively are

Options :

6406536373917. ✖ 5, 20

6406536373918. ✔ 20, 5

6406536373919. ✖ 20, 10

6406536373920. ✖ 10, 20

Sub-Section Number :

4

Sub-Section Id :

640653362939

Question Shuffling Allowed :

No

Question Id : 6406531961595 Sub Question Shuffling Allowed : No Group Comprehension

Questions : No Question Pattern Type : NonMatrix

Question Numbers : (11 to 13)

Question Label : Comprehension

A chair manufacturer hires its assembly-line labour for \$15 an hour and calculates that the rental cost of its machinery is \$30 per hour. Suppose that a chair can be produced using 4 hours of

labour or machinery in any combination.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 11 Question Id : 6406531961596

Correct Marks : 1

Question Label : Multiple Choice Question

If the firm is currently using 3 hours of machine time for each hour of labour time, is it minimizing its costs of production? _____

Options :

6406536373927. ✖ Yes

6406536373928. ✔ No

Question Number : 12 Question Id : 6406531961597

Correct Marks : 1

Question Label : Short Answer Question

If not, what will be the optimal combination of labour and capital.

$L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Question Number : 13 Question Id : 6406531961598

Correct Marks : 1

Question Label : Short Answer Question

If not, what will be the optimal combination of labour and capital.

$K^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Sub-Section Number :

Sub-Section Id :

640653362940

Question Shuffling Allowed :

No

Question Id : 6406531961599 Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (14 to 18)

Question Label : Comprehension

Consider two goods, coconut and fish with prices $P_c = 20$ and $P_f = 10$. Robin has an income $I = 1000$ and he consumes only these two goods. With the help of the plot of his budget line taking fish on the Y-axis.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 14 Question Id : 6406531961600

Correct Marks : 1

Question Label : Multiple Choice Question

The slope of the budget line is

Options :

6406536373931. ✓ -2

6406536373932. ✗ +2

6406536373933. ✗ -1/2

6406536373934. ✗ +1/2

Question Number : 15 Question Id : 6406531961601

Correct Marks : 1

Question Label : Multiple Choice Question

Intercepts on the axis are

Options :

6406536373935. ✓ 50 on X-axis and 100 on Y-axis

6406536373936. ✗ 100 on X-axis and 50 on Y-axis

6406536373937. ✗ 50 on X-axis and 20 on Y-axis

6406536373938. ✗ 20 on X-axis and 50 on Y-axis

Question Number : 16 Question Id : 6406531961602

Correct Marks : 1

Question Label : Multiple Choice Question

If keeping income unchanged, price of the coconut is halved, what will be the new slope of the budget line

Options :

6406536373939. ✗ -2

6406536373940. ✗ +1

6406536373941. ✓ -1

6406536373942. ✖ +2

Question Number : 17 Question Id : 6406531961603

Correct Marks : 1

Question Label : Multiple Choice Question

New intercepts on the axis are

Options :

6406536373943. ✖ 50 on X-axis and 50 on Y-axis

6406536373944. ✖ 100 on X-axis and 50 on Y-axis

6406536373945. ✓ 100 on X-axis and 100 on Y-axis

6406536373946. ✖ 10 on X-axis and 100 on Y-axis

Question Number : 18 Question Id : 6406531961604

Correct Marks : 1

Question Label : Multiple Choice Question

If income is halved keeping the original prices unchanged

Options :

6406536373947. ✖ Slope remains same and both intercepts are doubled

6406536373948. ✓ Slope remains same and both intercepts are halved

6406536373949. ✖ Slope changes and both intercepts are doubled

6406536373950. ✖ Slope changes and both intercepts remain same

Sub-Section Number : 6

Sub-Section Id : 640653362941

Question Shuffling Allowed : Yes

Question Number : 19 Question Id : 6406531961605

Correct Marks : 1

Question Label : Short Answer Question

The marginal product of labour in the production of chips is 50 kg chips per hour. The marginal rate of technical substitution of hours of labour for hours of machine capital is $\frac{1}{4}$.

What is the marginal product of capital in kg per hour? (only write the no.) _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

200

Sub-Section Number : 7

Sub-Section Id :

640653362942

Question Shuffling Allowed :

No

Question Id : 6406531961606 Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (20 to 21)

Question Label : Comprehension

The short-run cost function of a company is given by the equation $TC = 200 + 55q$, where TC is the total cost and q is the total quantity of output.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 20 Question Id : 6406531961607

Correct Marks : 1

Question Label : Short Answer Question

What is the company's fixed cost? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

200

Question Number : 21 Question Id : 6406531961608

Correct Marks : 1

Question Label : Short Answer Question

If the company produced 100 units of goods, what would be its average variable cost? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

55

Sub-Section Number :

8

Sub-Section Id :

640653362943

Question Shuffling Allowed :

No

Question Id : 6406531961609 Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (22 to 25)

Question Label : Comprehension

Imagine that you have started a snack food delivery business on your college campus. Students send you orders for snacks, such as potato chips and candy bars, via the Internet. You shop at local grocery stores to fill these orders and then deliver the orders. To operate this business, you pay \$500 a month to lease computer time from a local Web-hosting company to use its server to host and maintain your website. You also own a sports utility vehicle (SUV) that you use to make deliveries. Your monthly car payment is \$300, and you pay \$100 a month in insurance costs. Each order that you fill takes, on average, a half hour and consumes \$0.50 worth of gasoline. When you fill an order, you pay the grocer for the merchandise. You then collect a payment, including a delivery fee, from the students to whom you sell. If you did not operate this business, you could work at the campus dining hall, earning \$6 an hour. Right now, you operate your business five days a week, Monday through Friday. On weekends, your business is idle, and you work in the campus dining hall.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 22 Question Id : 6406531961610

Correct Marks : 1

Question Label : Multiple Choice Question

Your explicit costs include

Options :

- 6406536373954. ✖ Leasing computer time
- 6406536373955. ✖ Gasoline
- 6406536373956. ✖ Money you pay grocers
- 6406536373957. ✔ All of these

Question Number : 23 Question Id : 6406531961611

Correct Marks : 1

Question Label : Multiple Choice Question

Our implicit cost will be

Options :

- 6406536373958. ✖ \$300 car payment
- 6406536373959. ✖ \$100 a month insurance cost
- 6406536373960. ✔ Your wage at campus dining hall \$6 an hour
- 6406536373961. ✖ All of these

Question Number : 24 Question Id : 6406531961612

Correct Marks : 1

Question Label : Short Answer Question

Last week you purchased five large cases of Fritos for a customer who, as it turned out, did not accept delivery. You paid \$200 for these cases. You have a deal with your grocers that they will pay

you \$0.5 for each dollar of returned merchandise. Just this week, you found a fraternity on campus that will buy the five cartons for \$125 (and will pick them up from your apartment, relieving you of the need to deliver them to the frat house).

What is the opportunity cost of filling this order in \$ (i.e., selling these cartons to the fraternity)?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

100

Question Number : 25 **Question Id :** 6406531961613

Correct Marks : 1

Question Label : Multiple Choice Question

Last week you purchased five large cases of Fritos for a customer who, as it turned out, did not accept delivery. You paid \$200 for these cases. You have a deal with your grocers that they will pay you \$0.5 for each dollar of returned merchandise. Just this week, you found a fraternity on campus that will buy the five cartons for \$125 (and will pick them up from your apartment, relieving you of the need to deliver them to the frat house).

Should you sell the Fritos to the fraternity? _____

Options :

6406536373963. ✓ Yes

6406536373964. ✗ No